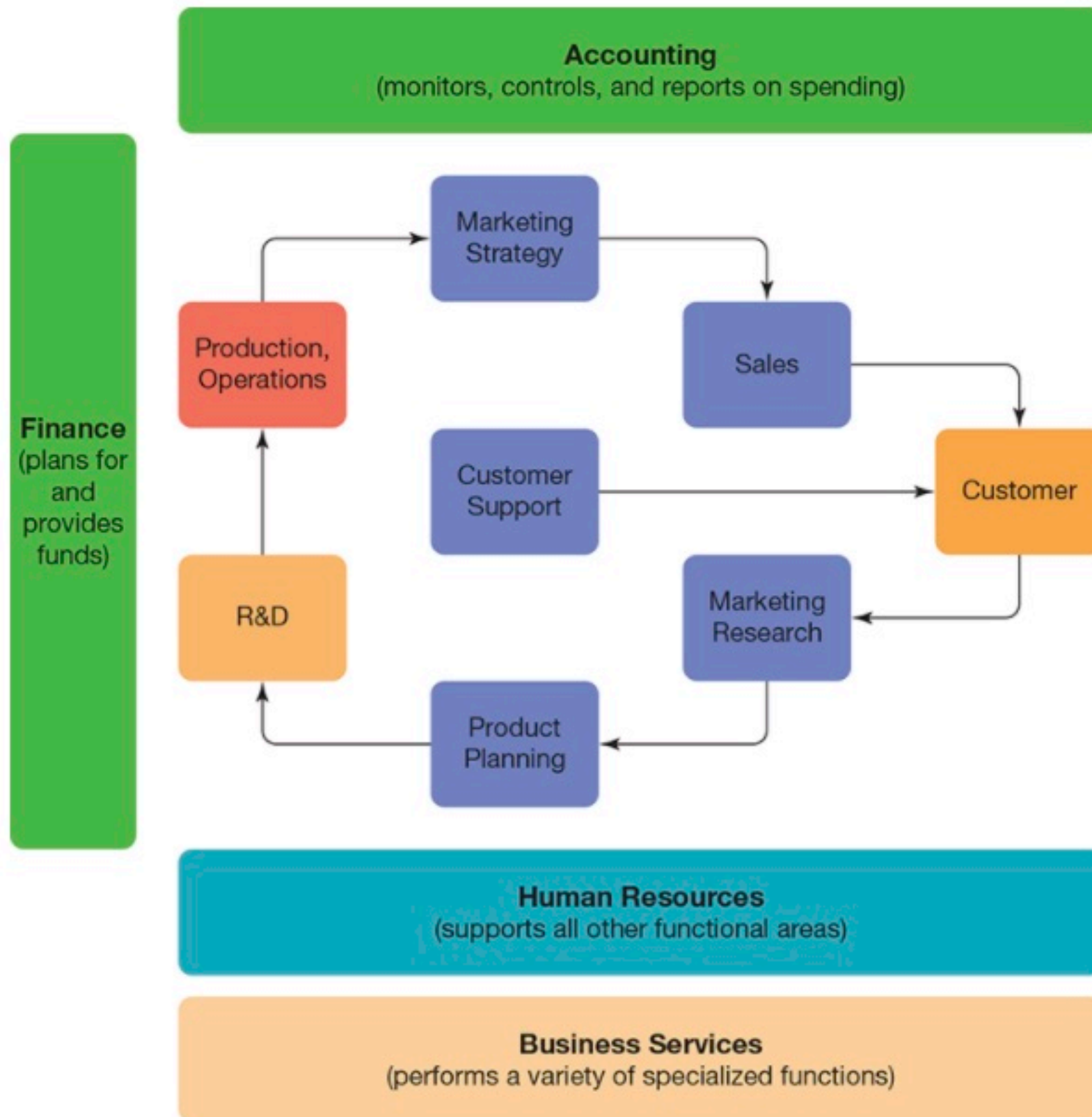


$$\underbrace{\text{ASSETS}} \left\{ = \left\{ \underbrace{\text{LIABILITIES}} + \underbrace{\text{EQUITY}} \right. \right.$$

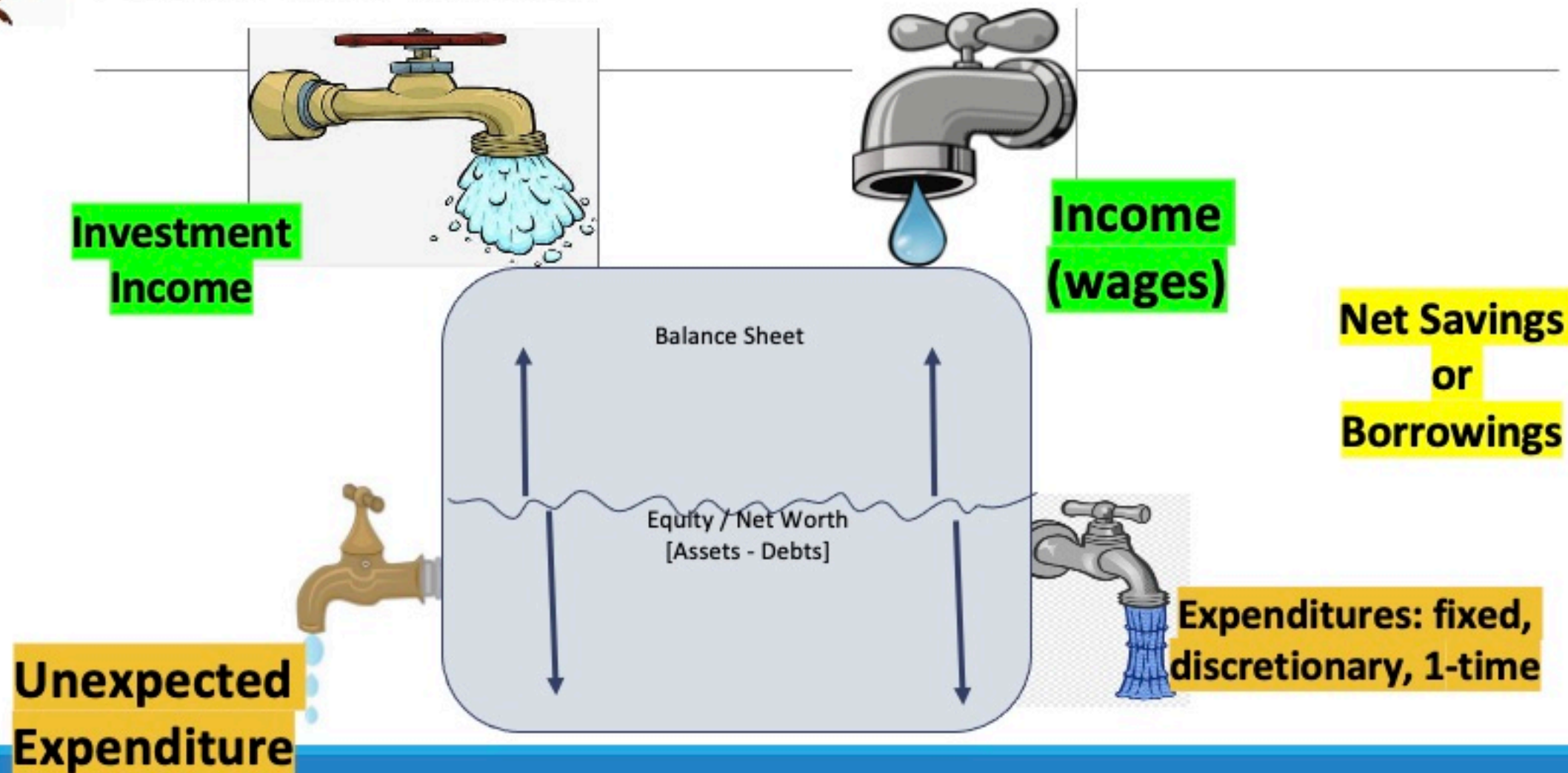
$$\left. \right\} = \left\{ \begin{array}{l} \text{Owner's Capital} - \text{Owner's Withdrawals} + \text{Revenues} - \text{Expenses} \end{array} \right.$$

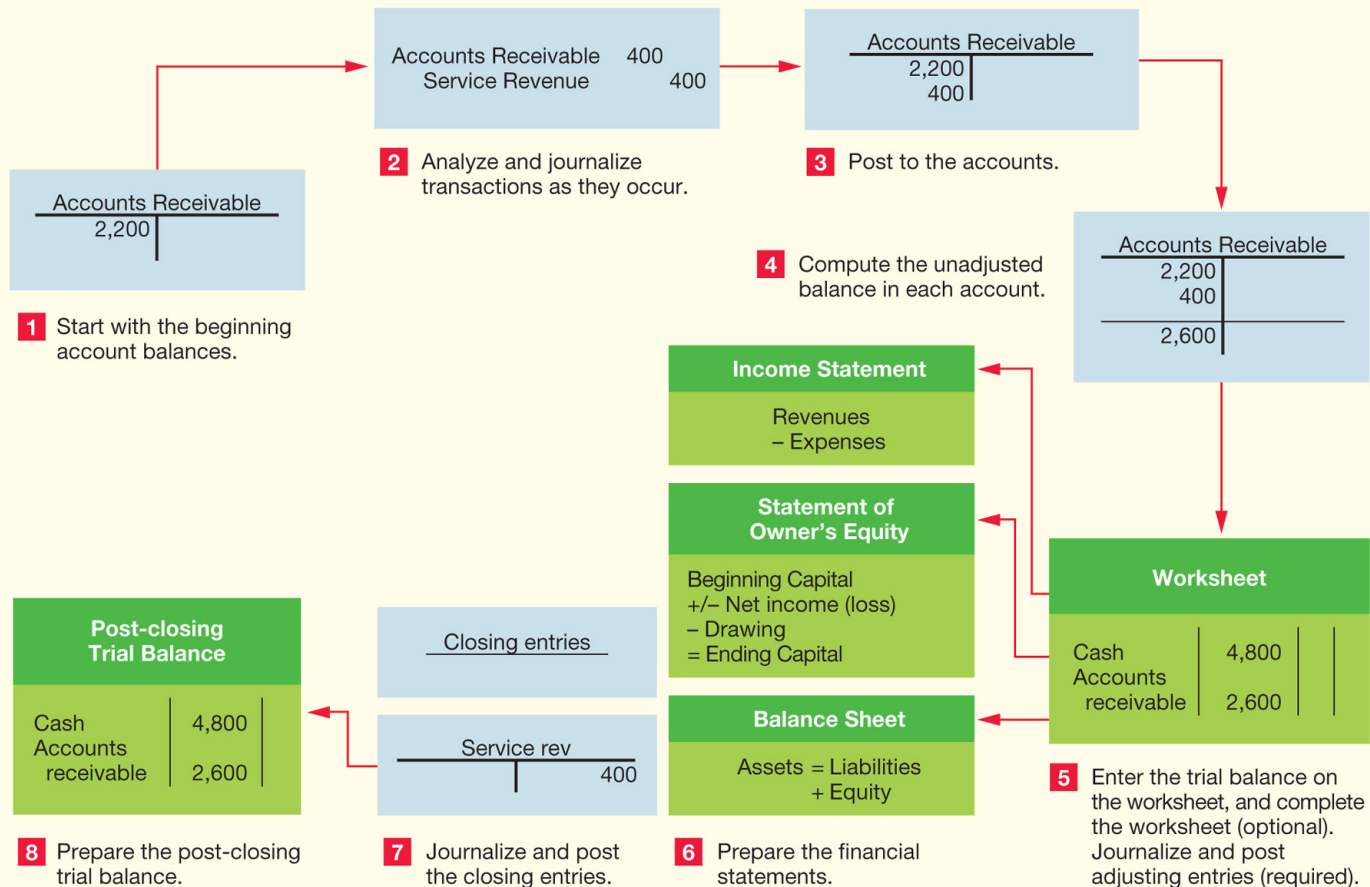


The functional areas in a business coordinate their efforts to understand and satisfy customer needs. Note that this is a simplified model, and that various companies organize their activities in different ways.



Flows and Levels





	A	B	C	D	E	F	G	H	I	J	K	L	M
1	company name												
2	Financial Statements												
3													
4	company name												
5	Income Statement												
6	For the Month Ended 12/31/22												
7													
8	Service Revenue												
9													
10	Expenses												
11	Supplies Expense												
12	Salary Expense												
13	Advertising Expense												
14	Depreciation Expense												
15	Insurance Expense												
16													
17	Total Expenses					-							
18													
19	Net Income												
20													
21	company name												
22	Statement of Owner's Equity												
23	For the Month Ended 12/31/22												
24													
25	Jose Wang, Capital, 1-Dec-22											\$0	
26	Investments during Period												
27	Net Income / (Loss)												
28	Less Withdrawals												
29	Change in Equity During Period											-	
30													
31	Jose Wang, Capital, 44,926											-	
32													
33	company name												
34	Balance Sheet												
35	12/31/22												
36													
37	ASSETS						Liabilities						
38	Cash						Accounts Payable						
39	Accounts Receivable						Salary Payable						
40	Prepaid Insurance						Unearned Service Revenue						
41	Supplies												
42													
43	Building						Total Liabilities					-	
44	Accumulated Depreciation - Building												
45							Liabilities						
46													
47							Owner's (Jose Wang) Capital					-	
48													
49													
50	Total Assets				-		Total Liabilities & Equity					-	
51													
52	company name												
53	Statement of Cash Flows												
54	For the Month Ended 12/31/22												
55													
56	Cash flows from operating activities												
57	Cash received from customers												
58	Less Cash Payments for expenses and												
59	payments to creditors												
60	Net cash flow from operating activities											-	
61													
62	Cash flows from investing activities												
63	Cash payment for purchase of land											<<< not required	
64													
65	Cash flows from financing activities												
66	Cash received as investment by owner												
67	Less Cash Withdrawal												
68	Net cash flow from financing activities											-	
69													
70	Total Net Cash Change in Period											-	
71	Add Beginning Cash Balance											-	
72	Ending Cash Balance											-	
73													
74													
75													

Double-entry Bookkeeping

Stage 1 - Journals - Transaction recorded by date order

Stage 2 - General Ledger - Transaction posted by account type

General Journal #1001				
Date	Details	A/C #	Debit (Dr)	Credit (Cr)
1 May 20XX	Cash	301	10,000	
	Loan - ABC Bank	401		10,000
Loan funds received				

10 May 20XX	Cash	301	1000	
	Sales	101		1000
Sale of inventory				

15 May 20XX	Electricity expense	201	500	
	Cash	301		500
Payment of electricity bill				

Cash #301		Loan ABC #401	
Debit (Dr)	Credit (Cr)	Debit (Dr)	Credit (Cr)
10,000	500		10000
1,000			
Sales #101		Electricity #201	
Debit (Dr)	Credit (Cr)	Debit (Dr)	Credit (Cr)
	1000		500

Journals

Posted

General Ledger

NowMaster